

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2016-009836

BETWEEN:

BEACON MANUFACTURING LTD

Appellant

- and -

ALLIANCE INSURANCE PLC

Respondent

APPELLANT'S SKELETON ARGUMENT

A. INTRODUCTION

1. The Appellant seeks an indemnity under a business interruption insurance policy for losses suffered as a result of a fire at its manufacturing premises, contending that the Respondent has wrongfully declined the claim.

B. RELEVANT FACTS

2. The Appellant held a combined commercial policy with the Respondent providing cover for material damage and business interruption.
3. A fire occurred at the Appellant's premises on 3 August 2023 causing extensive damage.
4. The Appellant submitted a claim for £4.2 million comprising property damage and 18 months' business interruption losses.
5. The Respondent declined the claim alleging non-disclosure of previous fires and breach of fire safety warranty.
6. The previous incidents were minor, did not result in claims, and were not material to the risk.

C. LEGAL FRAMEWORK

7. The relevant statutory provisions are:
 - Insurance Act 2015
 - Consumer Insurance (Disclosure and Representations) Act 2012

D. SUBMISSIONS

8. The previous incidents were minor and not material to a prudent underwriter.

9. Any non-disclosure was not deliberate or reckless within the meaning of the Insurance Act 2015.

10. The warranty was suspended during the maintenance period under implied terms.

11. The Respondent's remedy is limited to proportionate reduction of the claim, not avoidance.

E. AUTHORITIES

12. The following authorities are relied upon:

- Versloot Dredging BV v HDI Gerling Industrie Versicherung AG [2016] UKSC 45
- The Mercandian Continent [2001] 2 Lloyd's Rep 563
- Brit Syndicates Ltd v Italaudit SpA [2008] UKHL 18

F. RELIEF SOUGHT

13. The Appellant respectfully requests that this Court:

- Indemnity under the policy in the sum of £4,200,000
- Interest from date of loss
- Costs

James Edwards KC

David Thompson

19 December 2020

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